COMPLIANCE OBLIGATIONS

This document is not a complete summary of your compliance obligations. It is an informative and reference tool that we have developed on certain subjects, with the aim of supporting you in the delivery of your services and to make you aware of our expectations with regards to compliance. This document does not replace your professional, contractual or legal obligations, and as such, we refer you to your distribution contract as well as to applicable laws and regulations.

Content of this document:

1- License and professional insurance

You must always hold a valid insurance license and maintain in force professional liability insurance to cover your errors and omissions. Certain provinces require additional liability insurance to cover fraudulent acts. All such insurance must be kept in force as required by the regulatory agencies and you must notify Assumption Life immediately as soon as your license is suspended, revoked or is not renewed. You must also notify us immediately if your professional liability insurance expires.

2- Professional conduct and business practices

Assumption Life expects you to respect your contractual obligations, as well as the Assumption Life Code of conduct applicable to advisors, a copy of which is shown at the bottom of this document.

⇨ Among your contractual and compliance obligations that you must respect, Assumption Life expects you to:

a) promptly submit insurance applications and the clients' premiums. For this reason, you may not accept any cash or cheque payable to yourself or to one of your corporations;
b) promptly deliver all policies and related documentation to clients;
c) keep adequate books and records of all transactions related to policies. These records must be kept in accordance with applicable regulations and the most rigorous standards of practice applicable to advisors;

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d) disclose to clients any conflict of interest or risk of conflict of interest in accordance with applicable standards and in required forms;
e) collect data and analyze your customers' needs;
f) recommend products to your customers that suit their needs;
g) provide your client with an after-sale cover letter that contains a summary of the requirements prescribed by Advocis, CAILBA, and ACCAP for Client-Centered Business Practices: The Industry Approach;
h) keep appropriate documents regarding the analysis of client needs and your recommendation, including the explanatory letter mentioned in point g) above;
i) notify it when you become insolvent, declare bankruptcy, or make a general assignment of your assets in favor of your creditors;
j) notify it when a situation is likely to have a negative impact on your ability to sell Assumption Life products;
k) notify you when you are the subject of a criminal or regulatory investigation, when you are the subject of disciplinary or criminal proceedings by a regulator or when sanctions or limitations on your insurance license are imposed by a regulator.

⇨ You are not allowed to:
a) accept risks for or bind Assumption Life in any way whatsoever with regard to insureds;
b) assume any liability whatsoever in Assumption Life's name;
c) make or modify policies or illustrations in Assumption Life's name;
e) waive or modify any of a policy's terms or restrictions;
f) institute legal proceedings in Assumption Life's name;
g) publish, produce or use in any way whatsoever any ad or document bearing the name or logo of Assumption Life or any of its products, or bearing any other symbol identified with Assumption Life or its products, except with Assumption Life's written authorization;
h) use or disclose, without the client's prior consent, his or her personal information for any purpose other than that for which it was originally collected.

3- Individual annuity contract relating to segregated funds

Current legislation requires that you give the client a copy of the Information Folder and Fund Facts before selling an individual annuity contract relating to segregated funds. You may remit these documents in person, by email, by fax or in any other manner before the client signs an application. By signing the application, the client confirms having received a copy of these documents. Please note that Assumption Life allows a two-day period of reflection (right to cancel without penalty) that applies at the time the client enters into the contract or selects funds.

4- Replacement

Although the replacement of a life insurance policy can have some benefits for the client, it can also carry important disadvantages. You should therefore carefully analyze the current and future needs of the client as well as the advantages and disadvantages of a possible policy replacement before recommending that your client replace an existing policy. In order to explain the industry's expectations with respect to the replacement rules, the Canadian Life and Health Insurance Association (CLHIA) has developed *A Guide to Preparing the Written Explanation Required for the Life Insurance Replacement Declaration*. You can access these documents by going to the CLHIA website by clicking on The Industry tab and then on Material for Advisors and MGAs. You can click on the following link:
https://www.clhia.ca/web/CLHIA_LP4W_LND_Webstation.nsf/page/79CD8638AC552ED08525813A00580164!OpenDocument

This guide raises a series of pertinent questions that you must review with your client. It also explains the rules governing remittance of forms to insurers and clients, according to the province of business.

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5- Rebating of Premium

Most Canadian provinces prohibit the advisor from granting premium discounts. To this end, you are not authorized to offer a premium discount to the client, nor to give him a contribution or any form of compensation or incentive to purchase or for having purchased an Assumption Life product. Assumption Life may, however, conduct promotional campaigns intended for the public, thus offering certain advantages or incentives to clients or to its advisors or firms or agencies. This does not constitute a prohibited premium discount within the meaning of applicable laws.

6- Surveillance

Assumption Life may, from time to time, review advisors' compliance and sound business practices to ensure that all of their duties and obligations are met and that clients are treated fairly. Assumption Life, your firm or general agent will give you 24 hours' advance notice.

7- Complaint

You must notify us immediately when you receive a complaint from an Assumption Life client relating to the products you have sold to them or the services you have rendered to them. You can communicate with the person in charge of handling complaints at Assumption Life as follows:

Complaints officer
Telephone: 1 506 853-6040
Toll free: 1 800 455-7337
Email: complaints@assumption.ca

8- Fair treatment of your customers

Three main principles should guide your professional practice with regard to managing the risk of conflicts of interest and your duty to act in the best interests of your clients, namely:

1. The interests of the client must take priority over those of the advisor
2. Clients must be informed of any conflict of interest or risk of conflict of interest
3. The recommended product must be suitable for the customer's needs

Assumption Life expects you to respect these principles in your relationships with clients.

In addition, Assumption Life expects you to provide quality services to clients and treat them fairly throughout the business relationship, in accordance with your Code of Professional Conduct as well as that of Assumption Life applicable to an advisor at the bottom of this document.

a) The interests of the client must be placed ahead of those of the advisor

While the advisor has a financial interest every time they sell a product, Assumption Life expects all advisors to adhere to best ethical practices by putting the client's interests ahead of their own financial interests at all times.

b) Clients must be informed of any conflict of interest or risk of conflict of interest

The advisor must disclose certain relevant information to the customer before making a sale. The following information is generally part of this disclosure:

- The provinces and territories where you can practice your profession and hold a valid and in-force license.
- The name of the companies represented.
- The nature of your relationship with those companies.

- The terms of your compensation, as well as any additional compensation received, including bonuses and other benefits and incentives.
- Any conflict of interest.
- Notice to the client that they may request additional information about your qualifications or business connections.

The client signature should be obtained on a written acknowledgement that you disclosed the information. Each advisor selling individual insurance or annuity products is responsible for developing his or her own form.

A reference document was developed by CLHIA, in collaboration with Advocis, the Canadian Association of Independent Life Brokerage Agencies and Independent Financial Brokers of Canada with the aim of developing sample advisor disclosur~~es~~ enabling them to comply with this principle. You can access the standard models developed by CLHIA by clicking on the following link: https://www.clhia.ca/web/CLHIA_LP4W_LND_Webstation.nsf/page/79CD8638AC552ED08525813A00580164!OpenDocument - You can also access it by clicking on **The Industry** tab on the CLHIA website and then on the Material for Advisors and MGAs tab.

Advisors who sell group life insurance, annuity or retirement products must adapt their disclosure depending on their situation. An example of a sample disclosure statement that has been adapted depending on the advisor's circumstances is available on the CLHIA website at the link indicated above.

c) The recommended product must be suitable for the customer's needs

As an advisor, you must see that your clients receive clear information on the products that you propose. You must also ensure that the product meets the client's needs. This is why we recommend that you collect all of the client's pertinent information in order to be able to better guide him or her in their choice of product.

Product disclosure guidelines are developed to ensure that the clients have all the information required to make informed purchase decisions.

This includes disclosure of:

- The benefits of the product and its main features.
- Details about the required premium payments.
- Which features and benefits of the product are guaranteed and which are not.
- All exclusions or limitations that apply.

For further information regarding your obligations, CLHIA has developed a series of pertinent questions in a reference document: ***The Approach: Serving the Client Through Needs-Based Sales Practices*.** Please read it over carefully. This d~~ocument is also availa~~ble on the CLHIA website under **The Industry** tab by clicking on the **Material for Advisors and MGAs** tab. You should follow the suggested practices in any dealings with your clients.

9- Newfoundland and Labrador - Mandatory document to submit

Newfoundland and Labrador requires insurance companies and advisors to deliver a document titled ***Principles for the Sale of Insurance: A Consumer Protection Document*** to clients in that province. This document must be given to the client upon delivery of the policy or when filling out the application (at the point of sale).

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You can obtain this document by clicking on the following link:

http://www.releases.gov.nl.ca/releases/2007/gs/0125n05principles.htm

10- Protection of personal and confidential information

You are required, like Assumption Life, to comply with applicable laws regarding the protection of personal information in order to protect the privacy of clients. The federal law is called: *Personal Information Protection and Electronic Documents Act (PIPEDA)* and applies in all provinces that do not have similar legislation to that effect. Certain provinces have adopted their own privacy law similar to the federal act (Quebec, Alberta and British Columbia).

You will find below a summary of the obligations contained in these acts; this is by no means a complete list; please consult the applicable acts in the jurisdictions where you do business to understand all of your obligations. These acts all require that clients be made aware of the reasons why you will be collecting, using and disclosing their personal information.

Assumption Life has prepared notices, for this purpose, which you must remit and explain to the client before collecting his or her personal information. These notices explain in particular:

- what information we need and how it will be used;
- how and to whom we may disclose their personal information;
- how we protect them;
- how clients can request access to their file;
- how they can request a correction of their file; and
- how to file a complaint about the protection of their personal information in case of dissatisfaction

These personal information notices are intended for clients of individual life insurance, investments and pensions, group insurance as well as mortgages and they are either attached or directly included, to products or services request forms, insurance or annuity applications or enrolment forms .

Assumption Life expects you to be able to explain the scope of the notices before collecting their personal information. Once the client has given his or her personal information, he or she fills out the form and sign the application which contains his or her consent. Such consent is contained above the signature section of the application or enrolment form.

It is important to note that you must collect, use or disclose only the personal information required for the purposes of the intended transaction. The privacy acts do not allow the use of a client's personal information for any purpose other than that for which it was collected.

It is important to inform clients that they may access their personal information at any time by submitting a request to that effect to Assumption Life. They should also understand that they can lodge a complaint with the Chief Compliance Officer if they are not satisfied with the in which we protect their personal information.

For more information, we invite you to read our privacy policy and practices, which can be found by clicking on the **Privacy Policy** link located at the bottom of our website page.

If you have any questions regarding our policy or practices, you can contact the Chief Compliance Officer :

Chief Compliance Officer
Telephone : 1 506 853-6040
Toll free: 1 800 455-7337
Email : customers.inquiries@assumption.ca

11- Anti money laundering

a) Money laundering

What is money laundering? This is the process used to attempt to reintroduce into the financial system, money earned underground “black money” (tax evasion) or from crime (theft, fraud, extortion, illegal drug sale, etc.) to give it a legitimate appearance. Money launderers use various products of financial institutions to disperse these funds from one financial institution to the other, and later make withdrawals.

At Assumption Life, we have performed a risk assessment of our products and determined that the non-registered annuity contracts could be used for laundering money. We therefore require a rigorous process of identity verification of our clients subscribing to such product at risk of money laundering. For other products, we require that you follow a less rigorous identity verification process. Please follow the usual and applicable process for the client identity verification. The following applies uniquely for our product at risk of money laundering.

b) Identity verification

Physical person

There is a specific form for the verification of the identity of the owners of products at risk titled**: Information on the identity of an Owner (individual) (6101-00A)** as well as a specific form for verifying the identity of an entity**: Information on the identity of a Legal Person (6119-00A)** accessible on the advisor's corner. These forms allow you to collect the required information to perform a proper verification of the identity of owners, as per the available options. It is not necessary to send a copy of documents used to verify the identity of owners at Assumption Life.

Legal people, beneficial ownership, succession and non-profit organization (companies, organizations, etc., including charities and succession).

You must confirm the existence of any legal person or other entity that subscribes to a product at risk of money laundering, by completing the relevant form.

You must also take reasonable steps to obtain information on the beneficial ownership of the legal person. A beneficial owner is a person or other legal entity that holds an ownership interest or financial interest of 25% or more in the legal person. Reasonable steps include asking questions of the individual who may act on behalf of the entity to identify the beneficial owners of the legal entity. These actions may also include consulting a trusted source of publicly available information.

For charitable organizations, you must obtain the following information:

- Is the charity registered with the Canada Revenue Agency in order to issue tax receipts?
- Does the charity collect or solicit donations from the public?

c) Politically exposed person

If a client makes a lump-sum deposit of $ 100,000 or more in respect of a product at risk of money laundering, you must take reasonable steps to determine whether the person with whom you are doing business is a politically exposed person. You must complete the section of relevant form **Information on the identity of an Owner (individual) (6101-00A)**

d) Third party determination

If you conclude that the person or customer is acting on behalf of a third party, that is, the customer is acting on the instructions of another person to purchase a product at risk of money laundering, you must let us know. If the client openly admits that he is acting on behalf of a third party, you may specify it directly in the application in the place indicated.

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However, if the client is evasive or if you suspect that the client is acting for a third party, it is best not to note anything on the form signed by the client and to send the information to us by telephone or by email in a separate communication with all the details you know.

You can refer to the Guidance titled: Record keeping requirements for life insurance companies, brokers and agents (fintrac-canafe.gc.ca) of FINTRAC for more information on your obligations regarding identity verification, business relationship, ongoing monitoring, beneficial ownership, politically exposed persons and third party determination.

e) Reporting attempted or completed suspicious transactions

Your main responsibility as an advisor is to report any suspicious transaction completed or not when you have reasonable grounds to suspect that the transaction is related to money laundering or terrorist financing activities. Please consult Appendix A-*Indicators of suspicious transactions* at the end of this document to help you detect suspicious behaviors. This appendix gives you a list of common indicators of suspicious transactions that will be useful depending on the circumstances. If there is only one indicator, this doesn't necessarily point to a suspicious transaction; a judgment call will have to be made.

If you report a transaction, you must keep everything confidential. Disclosing to your client that you have submitted a suspicious transaction report **is a contravention of the Act** for which you may be fined as an administrative penalty. You may file your report directly to the Financial Transactions and Reports Analysis Center of Canada (FINTRAC). If you are not sure how to proceed, you can contact the Compliance Department at Assumption Life at the following coordinates:

Chief Compliance Officer
Telephone : 1 506 853-6040
Toll free: 1 800 455-7337
Email : customers.inquiries@assumption.ca

If you suspect that your client's transaction is related to money laundering and you do not report it to FINTRAC, you may be subject to an administrative monetary penalty or be subject to prosecution.

f) Other obligations under the AMLA-FAT in Canada

Should you have any questions regarding your obligations, you can contact FINTRAC as follows:

Website : http://www.canafe-fintrac.gc.ca

By mail: Financial Transactions and Reports Analysis Centre of Canada
234 Laurier Avenue West, 24th Floor
Ottawa, Ontario K1P 1H7
CANADA

By phone (toll free): 1-866-346-8722

This overview does not replace the wording of the Act; for a complete list of your obligations, consult *the* Proceeds of Crime (Money Laundering) and Terrorist Financing Act, directly.

You can also consult the following FINTRAC Guidance by clicking the following link: FINTRAC Guidance (fintrac-canafe.gc.ca):

APPENDIX A - Indicators of Suspicious Transactions

The following list raises indicators that could lead a life insurance advisor or advisor to suspect that a transaction or attempted transaction is related to money laundering or terrorist activity. Not a particular factor, but a combination of factors must be considered before making a determination.

Common indicators

- Client pays policy premiums with cheques, postal money orders or bank drafts originating from different bank accounts from different branches or different banks.
- Client pays an unusual premium with money orders or bank drafts and this deposit seems unusual.
- Client deposits a large amount and cancels the transaction soon after, without much explanation.
- The premium paid from a single bank account seems large or unusual based on the account owner's income. If the bank account owner is not the policyholder nor the insured or annuitant, further investigation is required as to the purpose of the product sold and the reason why someone other than the owner is paying the premium.
- Unforeseen deposit of funds or abrupt withdrawal of funds.
- Several clients have the same address.
- Client uses different addresses for different Assumption Life products.
- Addresses on file are not legitimate; returned mail.
- Client shows no interest in the costs associated with the termination of a policy or contract.
- Client who has other small policies or transactions based on a regular payment structure makes a sudden request to purchase a substantial policy with a lump sum payment.
- Client does not want correspondence sent to home address.
- The transaction does not appear to make sense or is out of keeping with usual or expected activity for the client.

Knowledge of reporting or record keeping requirements

- Client attempts to convince employee not to complete any documentation required for the transaction.
- Client makes inquiries that would indicate a desire to avoid reporting.
- Client has unusual knowledge of the law in relation to suspicious transaction reporting.
- Client seems very conversant with money laundering or terrorist activity financing issues.
- Client is quick to volunteer that funds are "clean" or "not being laundered."
- Client appears to be structuring amounts to avoid record keeping, client identification or reporting thresholds.
- Client appears to be collaborating with others to avoid record keeping, client identification or reporting thresholds.

Identity documents

- Client produces seemingly false identification or identification that appears to be counterfeited, altered or inaccurate.
- Client refuses to produce personal identification documents.
- Upon request, client only submit copies of personal identification documents instead of originals.
- Client wants to establish identity using something other than his or her personal identification documents.
- Client's supporting documentation lacks important details such as a phone number.
- Client inordinately delays presenting corporate documents.
- All identification presented is foreign or cannot be checked for some reason.
- All identification documents presented appear new or have recent issue dates.
- Client presents different identification documents at different times.
- Client alters the transaction after being asked for identity documents.

Economic purpose

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- Transaction seems to be inconsistent with the client's apparent financial standing or usual pattern of activities.
- Transaction is unnecessarily complex for its stated purpose.
- Activity is inconsistent with what would be expected from declared business.
- No business explanation for size of transactions or cash volumes.
- Transaction involves non-profit or charitable organization for which there appears to be no logical economic purpose or where there appears to be no link between the stated activity of the organization and the other parties in the transaction.

12 Telephone solicitation and telemarketing

The CRTC National Do Not Call List (National DNCL) has been in effect since September 30, 2008. Persons who are engaged in telemarketing are not permitted to call a telephone, fax or cellular number unless they have verified that the number they are about to call does not appear on the DNCL. Assumption Life expects advisors selling its products to be compliant with the DNCL rules and that they register with the CRTC if they intend to solicit prospective clients by phone. To register, go to : http://www.lnnte-dncl.gc.ca/. We also invite you to read *Telecom Information Bulletin CRTC 2010-600*, which sets out specific rules for insurance advisors.

Please note that you or your organization must also maintain your own separate Do not call list. This list will include the phone numbers of clients who have specifically requested not to be contacted by yourself or by your organization.

a) Cost of non-compliance

Non-compliance occurs when you call a number registered on the DNCL. The penalties described in the CRTC rules include penalties up to $1,500 per violation for an individual and up to $15,000 for a corporation. Complaints that are deemed founded are also disclosed publicly, thus causing reputational harm.
However, you can still call individuals with whom you already have a business relationship, even if their number appears on the National DNCL.

There is an existing business relationship if the person you are communicating with:

- Purchased goods or services from you within the last 18 months.
- Made an inquiry or application within the last six months.
- Has a product in force sold by you or had a product sold by you which has expired in the last 18 months.

If you receive referrals, you should check if their names appear on the DNCL prior to calling them; if you or the person who provided the referral cannot obtain the consent of the individual, calling the number would be in violation of the DNCL. If that referral complains about the call, you will have to prove that you obtained his or her consent.

The website of the Canadian Life and Health Insurance Association Inc. (CLHIA) contains a section with additional information on the National DNCL for advisors. Click on **The Industry** tab and then on **Material for Advisors and MGAs**. Or you can click on the following link:
https://www.clhia.ca/web/CLHIA_LP4W_LND_Webstation.nsf/page/79CD8638AC552ED08525813A00580164!OpenDocument

13 Anti-spam law

The federal government passed the Anti-Spam (Anti-Spam) Act in 2010, which places significant restrictions on the transmission of commercial electronic messages to individuals. This law prohibits sending electronic messages to a third party without their consent when the message is intended to promote or offer a financial product or service.

Certain exceptions apply in certain circumstances, including, among others, when:

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- the message is sent to an employee of an organization with which your company has a business relationship;
- the message is sent in response to a request or question;
- the message is sent to a person to convey information about their interests, benefits or rights in relation to a transaction or matter;
- the message is sent to satisfy a legal obligation;
- the message is sent by a charity; and
- the message is sent to update the customer's profile.

The law does not prevent you from communicating by email with your existing clients to deliver the services for which you have been retained, unless your clients have not authorized you.

Before sending an electronic message to a group of individuals (existing customers or potential customers or others) to promote your services, you must comply with the following obligations if you use the name or logo of Assumption Life:

Have the content of the message approved by Assumption Life:
Obtain the consent of the recipients of the message. Implied consent is only allowed in limited circumstances. If so, your message should:

- provide your name, email address, mailing address, a telephone number to reach you or the address of a website that the individual can access in order to communicate with you;
- give an opportunity to the individual to express free of charge his wish to no longer receive other commercial electronic messages. You should be able to remove email from people who have told you that they no longer wish to receive promotional email from your mailing list.

If you use the services of a provider to communicate your messages by email, you must ensure that this provider complies with the requirements of the law.

If you intend to expand your customer base through email solicitation or prospecting, it is important that you familiarize yourself with the applicable laws and regulations by consulting the website of the Canadian Radio-television and Telecommunications Commission. (CRTC) at the following address: http://www.crtc.gc.ca/fra/casl-lcap-fra.htm.

The law came into effect on July 1, 2014. Failure to comply with the Anti-Spam Law can result in significant financial penalties.

This summary of your anti-spam compliance obligations has been prepared to give you an overview of the subject. It is incomplete and does not constitute an opinion or legal advice. We strongly suggest that you seek the advice of a lawyer with any questions on the subject.

14 Assumption Life Code of Conduct*

**Applicable to advisors doing business with Assumption Life*

Assumption Mutual Life Insurance Company, hereafter referred to as the "Company" cherishes its business relationship with its advisors, hereafter referred to as "partners" or as "you". The Company depends on the excellence and proficiency of its partners in providing quality services to clients in order to build client confidence.

These high standards must be maintained at all times to preserve the Company's reputation. The company expects from its partners no less than fair and ethical treatment of the clients, acting with honesty, transparency, and trust.

This Code of Conduct provides guidance for you when dealing with employees, clients and prospective clients. The term "Client" includes the following terms: policyholder, insured, payer, claimant and beneficiary, as applicable as per the context.

This Code of Conduct does not replace any Code of Professional Ethics to which the agency, firm and its advisors adhere. This Code of Conduct is in addition to any professional code of conduct to which you must comply or which you have accepted.

This Code of Conduct shall be read in a manner that fits the level of services you actually provide to the clients. Even though most of the sections are applicable to agencies and advisors, other sections are specific to advisors only. In the context that each of the agencies and advisors all play an important role in the selling, distribution and servicing of clients, the Company expects that the terms of this Code of Conduct be complied with at all levels.

a) Product offering

When selling our products and services, you represent the Company's brand and reputation. We depend on you to solicit prospective clients who share common ethical values inspiring trust and honesty.

We depend on you to assess the needs of our clients and to offer them the Company's products that best meets their needs. We also rely on you to ask all questions on the proposals and to ensure that the client correctly understands the questions and that he or she answers all questions honestly.

We expect you to provide the customer with complete and accurate information about the Company and its products, especially those that the client is purchasing. It is extremely important that you understand all the terms and conditions attached to the products you are selling and that you are able to clearly explain the product to the client, in sufficient details so that the client will have a clear understanding of the product and the amount of premium to be paid. This will prevent client's frustrations, future complaints, litigation exposure and losses for you and for the Company.

b) Vulnerable people

If you deal with vulnerable people, such as seniors, people with disabilities, illiterate people, people who can't speak or write in English or in French, or people with little education, we expect from you a high level of care and prudence. We expect at all times that, the client's interest take precedence over your own interests.

We allow you to sell our products in the language of choice of the client, (French or English), provided that you master the language of choice of the client. If the client does not understand either of the official languages in Canada, we allow you to communicate with the client in the language he or she speaks, but only if you master her or his language. You must avoid serving the client in a language that you have not mastered to avoid misunderstanding and misrepresentations that can lead to complaints or litigation against you and the Company. If in doubt, be careful and transparent by contacting us to let us know the situation and find an appropriate solution for the client.

c) Identity verification

The Company allows the face-to-face and non-face-to-face sales of its products. When providing advisory services to clients, the Company relies on you to ensure that the identity of policyholders and insureds has been verified properly. When a non-face-to-face sale was made through an electronic platform, you must ensure that all relevant information has been obtained from policyholders and insureds. You must also ensure that all sales are conducted in the jurisdiction where you are licensed to sell these products.

d) Transmitting the application

Once an application is completed and signed, you must transmit the application to the Company in a timely fashion so that we can effectively assess the risk and issue the policy.

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Withholding of pertinent information that could affect the underwriting decision process such as pre-existing medical conditions or misrepresentation of information on the age of the insured, insurance needs, financial ability of the client to pay the premium is clearly unacceptable conduct. Such misconduct could invalidate any insurance put in force and result in the termination of your contract with the Company and expose you to regulatory investigation and the revoking of your license.

e) Handling Money

The money collected from the client must be payable directly to the Company only, not to you. It is never good practice to collect cash from your client for various reasons. This could expose you and the Company to unwanted litigation and problems. It is also not good practice to suggest or encourage a client to pay their premium with a bank draft or money order.

The payment of premiums by you on behalf of a client constitutes rebating which is an illegal practice in most provinces and is not acceptable in any form. If the client can't afford the product, don't make the sale.

f) Policyholder services

We expect that you provide conscientious service after the sale to the client. This includes the prompt delivery of all policies and a full explanation of any "free look" provisions that may apply.

Policyholder requests for policy changes and other financial transactions must be processed efficiently and properly by you and include appropriate documentation as required, if necessary.

g) Training

The Company expects that you will devote time and efforts to continuously develop your knowledge and expertise in your field and that you will undertake training and continuing education in order to maintain a level of proficiency as a prudent advisor would.

h) Confidentiality

You will collect sensitive confidential information about the client as part of your legal and contractual duties. You are responsible for protecting all confidential information in your possession or in your control, at all times. This obligation is not restricted to your office space, but also includes having proper information technology security on all electronic devices you use.

We expect from you high standards and high level of proficiency when dealing with your clients and their confidential information. Make sure that your Clients understand the purpose of collecting all information and the manner in which it will be used and shared with other parties. We depend on you to read and remit to policyholders and insureds, the Company's personal information notice in a timely fashion.

i) Signatures

The company must be able to rely on the authenticity of every signature it has obtained on a paper or electronic format. You must never sign the name of a client, nor accept or allow a client to sign someone else's name. This is illegal and constitutes fraud. Furthermore, you must never sign a document as a witness if you did not witnessed a signature.

j) Policy replacement

You are expected to keep policies in-force, whenever retention of policies is in the best interest of the policyholders. You should not induce, or attempt to induce, a policyholder to replace or effect some change in existing insurance unless it is in his or her best interest.

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You are responsible for ensuring that all regulatory requirements regarding policy replacement are met.

You are responsible for ensuring that policyholders are fully aware and understand the terms and conditions for replacing existing insurance with new insurance. Replacement of existing policies should not occur unless proper forms are filled out and remitted to the client and insurers in a timely fashion.

The Company will not tolerate any form of systematic replacement of insurance, be it internal or external replacement. Action will be taken in situations where the Company is of the opinion that the replacement of insurance policies is beyond an acceptable threshold. Actions may include the reporting of the situation and yourself to regulators.

We all share the same goal of preserving and promoting an excellent commercial reputation.

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